B2B Branding: Avoiding the Pitfalls

Everyone wants a strong brand, but does everyone know what one is?

By Daniel P. Morrison

What companies come to mind when the words "power brands" are uttered? Tyco, ITT, and Ingersoll-Rand? Doubtful! In fact, one company that stands out is Procter & Gamble. And why not? P&G revolutionized the way companies marketed their products and the way consumers thought about brands. It realized the laundry detergent in the bottle wasn't what mattered; rather it was how the customer thought about that laundry detergent as they bought, wore, and washed their clothes. As a result, we now have Tide for soccer moms who need to get out tough stains, we have Cheer for the stylish, and so on.

But what does this have to do with B2B branding? Businesses are not making emotional and potentially irrational buying decisions, are they? They use a rational decision-making process based on quality, value, and price, right? Business is about Six Sigma, manufacturing excellence, operational efficiencies, and global supply chain management. The cynic may say branding is and always has been a touchy-feely consumer thing that makes rational human beings act irrationally. Why else would someone pay a buck for a can of Coke when they can purchase another can of sugar water for half the price?

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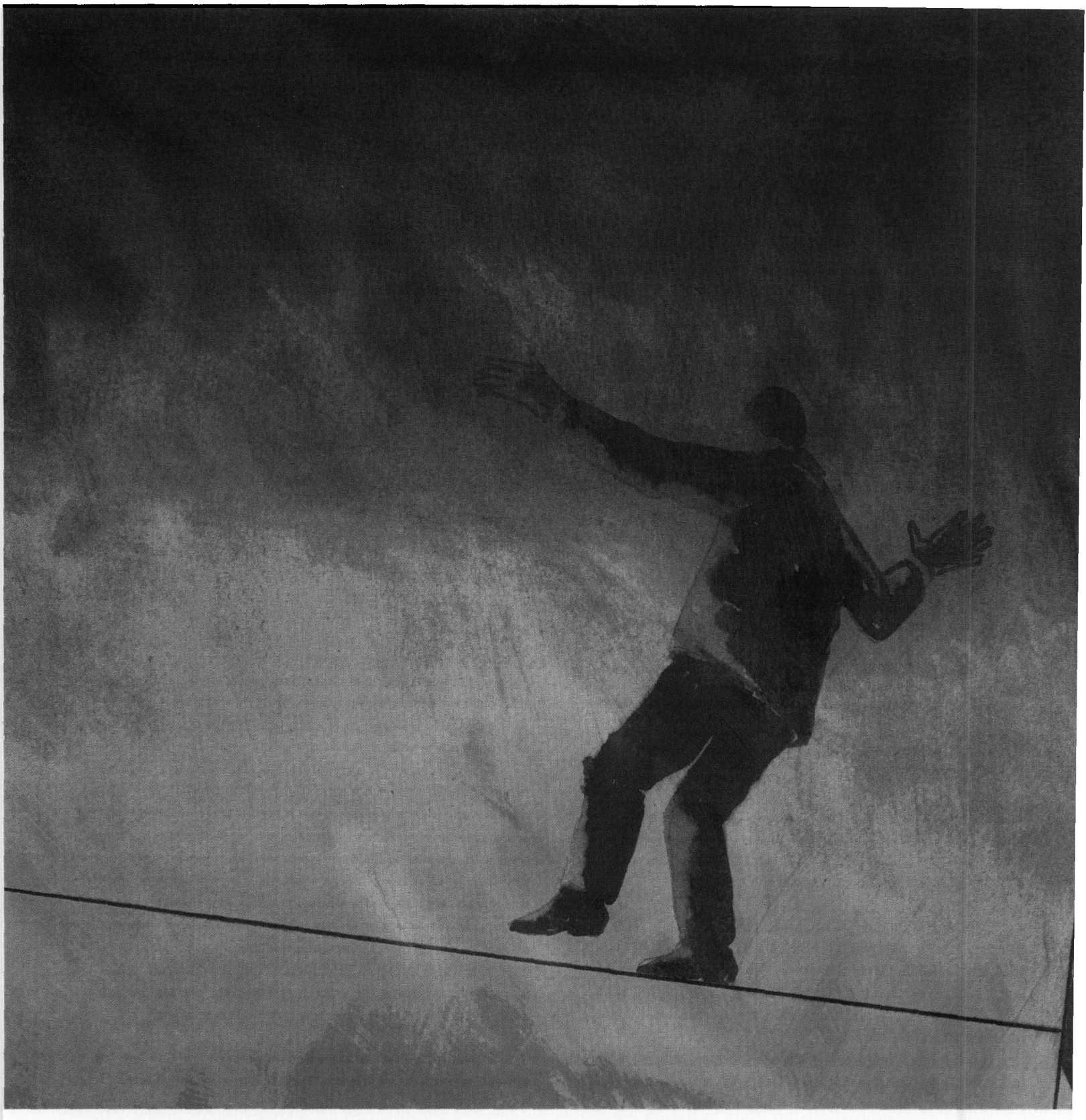

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Brands and branding are not just a name and logo used by the marketing department. Rather, they make up a strategic approach that companies take to guide and manage their businesses. While generally viewed as a consumer-marketing tool, branding is becoming more important in B2B companies. These companies must recognize that branding is a company-wide mind shift that every department, business unit, and employee needs to understand and believe in to deliver a valuable, branded experience to customers.

But good branding is not about stirring rational people into a frenzy so they make irrational decisions. It is about communicating the benefits and value proposition that a business or product provides its customers. However, many B2B companies misunderstand what a brand is and the kind of value and competitive advantage it can provide. Branding continues to be dismissed as a consumer-marketing tool, and even those interested in branding are limited in their thinking and only consider a brand a name, logo, and tag line. Millions of dollars are thrown away redesigning logos and creating flashy new collateral materials without any understanding of what the brand truly is.

Few B2B branders ask the following questions:

- How does the brand strategy support our business strategy?
- What is our aspirational brand identity, and what do we need to do to get there?
- What value proposition is most valuable to our customers?
- How do I align my organization to make the brand and value proposition a reality?

Without asking, answering, and acting on these questions, all the "branding" in the world will not reap results. The first step is to understand the six B2B brand pitfalls and to determine if your organization has fallen into their traps.

1. Branding is only a consumer products thing. Isn't it? Interbrand's 10 most valued brands are Coca-Cola, Microsoft, IBM, Intel, Nokia, General Electric, Ford, Disney, McDonald's, and AT&T. Even General Electric, IBM, Microsoft, Intel, and AT&T are on the list because of their strong consumer facings, not their strong B2B brands.

But Intel has long been a B2B branding success story thanks to its ability to brand its value proposition to consumers. As sophisticated programs, multi-tasking, multi-media, and the Internet began to grind computers to a halt, Intel realized that its "ingredient" in the computer was at the center of the computing experience. Intel leveraged its value proposition of speed and reliability not only with PC manufacturers, but with end users as well. The Intel brand campaign made customers believe any computer without the "Intel Inside" logo was not able to handle the demands of modern computing.

Everyone may not be able to replicate Intel's approach, but it is nevertheless a powerful branding strategy. Any company that can make end users realize the value their component adds to the end-use product will be able to enlist those end users to "pull" the product through the channel.

Intel is a success story on how a B2B brand can "consumerize" itself, but IBM faced a different challenge. A core- and mission-critical segment for IBM is its corporate server market. While many of us use ThinkPads and a few others Aptivas, IBM uses the server market to open the doors and checkbooks of global corporations. But in 1999, IBM's server sales fell 18% and were again down 11% in the first half of 2000. IBM was losing not only a valuable revenue stream, but also a critical sales tool for selling IT consulting and e-solution services to its profitable corporate clients.

Thus in mid-2000, IBM created "eServers." Realizing its alphanumeric product naming convention was confusing customers and that it was wasting millions to market very similar products, IBM streamlined its powerful corporate computer offerings and rebranded the entire line under the new "eServers" brand. At last, customers could easily understand IBM's server offerings, and the eServer brand was clearly linked to the eSolutions brand of IT consulting to create stronger cross-selling opportunities.

The eServer rebranding effort was estimated to cost a startling $75 million. So what did it get IBM? In 2000, IBM became number one in worldwide server revenue and outpaced rival Sun Microsystems by a 32% margin. According to the IBM Web site, in the fourth quarter of 2000, it also passed Hewlett-Packard for the first time in UNIX server market share. It's impossible to link all this success directly to the branding effort, but the decision to rebrand IBM's server group added focus and purpose internally, as well as clarified and simplified the customer's brand experience with IBM. Intel and IBM successfully used branding by focusing on branding the value they provided customers and simplifying the buying experience for their customers.

2. Branding is simply a name and logo. The CEO of a component manufacturer serving the office furniture industry recently described his organization's branding efforts. It had redesigned the corporate logo, decided to link all of its brands through a corporate endorsement, and was putting the final touches on a tag line that really "popped." When asked what I thought of his branding efforts, I questioned what brand value proposition the company was trying to communicate, how its brand architecture maximized the clarity, synergy, and leverage of its brand portfolio, and what aspirational brand identity it was trying to achieve. It quickly became a discussion on what a brand is and how misunderstanding your brand can cost a lot of money and time.

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A name and logo are recognizable elements of a brand and are what most people think of when the word brand is mentioned—but they are not "the brand." Changing a name and redesigning a logo are valueless gestures if they are isolated changes and are not done with a purpose. But what is a brand? A brand is not just a name, a logo, or an advertising campaign. Instead, it includes all of the associations, perceptions, and experiences an interested party has when interacting with a company, whether it be a product, service, or conversation with a friend at the water cooler. The frightening truth is that while the brand is an asset, it is not owned or controlled by the company, but by the customers and people who have perceptions of it.

So the brand becomes not only a name, logo, and tag line, but also becomes the relationship a customer and the company have at every touch point (e.g., the sales organization, customer service, Web site, engineering, account management billing, and finance). In the case of Intel, advertising is the outbound vehicle used to communicate its brand message and promise to computer users. But what makes Intel such a powerful B2B and consumer brand is its ability to organize the company and deliver on its brand promise. It is its engineering expertise, its commitment to quality, its partnerships and alliances, its service, and its dedication to always creating better, faster chips that keeps it ahead of AMD and others.

Ingersoll-Rand has recently renamed and rebranded itself as "IR." This decision was not made on name and looks alone, but as part of a larger brand strategy that leverages the IR master brand across all of its industries—climate control, industrial productivity, infrastructure, and security and safety. The change attempts to signal newness and the perception that IR is no longer just a heavy-duty equipment manufacturer, but a diversified company of industrial brands. Within each industry, IR has retained a powerful brand(s) to focus on the specific needs of that industry, while the IR brand is used to leverage Ingersoll-Rand's long heritage of financial stability and renowned product quality.

Ingersoll-Rand made this change after years of brand acquisitions that resulted in a whole that was less than the sum of its parts. The market was penalizing Ingersoll-Rand's stock for lack of focus. Ingersoll-Rand did not change its logo because it was ugly or wordy but to signify the change in its business strategy from a loose collection of brands in disparate businesses to a company of powerful brands in strategically focused industries.

3. Only products are branded. Many B2B companies struggle with what to brand. Should they brand the products, the business units, the corporation, or all of the above? Unfortunately, the answer is: It depends. Every company that has a portfolio of brands should develop a sound brand architecture to not only clearly articulate the current role of each brand and its relationship with the others, but also to establish guidelines for managing brand migration issues in the future.

The problem most B2B companies face is the one that led Ingersoll-Rand to its decision to organize itself into four core industries and link every brand in its portfolio to IR (i.e., the tendency to be everything to all people and therefore be nothing to anyone). Brands are powerful assets, but without the strategy and resources, they can be underutilized and even damaging. Dennis Kozlowski has turned Tyco International into one of the most powerful B2B brands, but Tyco is rarely used as a customer-facing brand. Kozlowski realized that branding medical products, fire alarms and security systems, pipes and valves, and chips and fiber optics under one name would result in conflicting messages and a valueless value proposition. Branding is all about delivering a consistent message, and it was hard to find consistency in its hodgepodge of products.

But Tyco has realized its corporate brand is not the same as the company and product brands that it owns and manages. Instead Tyco has built its corporate brand on the very management of those brands. The consistency is that the businesses and brands in Tyco's portfolio are recognized leaders in their industry, and it is around this trait that Tyco has built its corporate brand and value proposition and communicated it to Wall Street. The customer-facing brands remain at the business unit and product level so they can deliver specific and targeted value propositions that are familiar and understood by their customers.

This separation of corporate and product brands allows Tyco to market itself as a growing company of powerful brands in profitable industries rather than one struggling to find a common and probably non-existent association across its businesses. IR realized the same problem yet executed a slightly different strategy because it decided to more closely align its brands through the universal use of the IR brand with all of its products and services. IR saw the value in directly linking everything they do to their corporate brand, while Tyco did not. The important lesson is that brand strategy is consistent and the corporate brand does not have to be everything to everybody. Many times, the only audience for the corporate brand is the employees and investors.

4. Brands take care of themselves. Would you buy manufacturing capabilities and then just leave them to run on their own? Or would you recruit the top MBAs and then leave them

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in their offices to learn by osmosis? Then why do so many companies acquire brands and expect them to take care of themselves? If the brand is considered an asset, then it must be treated like an asset, which means it receives investment, management, and maintenance. Like technology and machinery, a brand is affected by internal and external forces that require reactions and changes. This can only be done if the organization clearly understands the brand and how to manage it.

Ingersoll-Rand's strategy was to grow through acquisition, yet Wall Street was continuously penalizing it. The problem was that, while it may have been acquiring companies, it lacked focus and direction on how to manage its portfolio of brands. It was not so much that Ingersoll-Rand was acquiring the wrong companies or brands, but that it was not managing them as a group, and thus creating value, after they became part of the portfolio.

There is more than one way to manage your brands. Whether you take a "house of brands" strategy that manages a portfolio of powerful brands like Tyco or a "branded house" that leverages one master brand across multiple segments, like Ingersoll-Rand and General Electric, it's important to remain consistent. There are always exceptions to the rules, but managing the brand portfolio in a consistent manner will most often result in higher returns.

5. Branding decisions are based on internal perspectives alone. New product development techniques consistently use the market and customers to gather data for breakthrough innovations, but most companies will use self-reflection solely to assess and develop their brand strategy and programs. It cannot be stressed enough that the brand is not something the company owns. Because the brand is the perceptions and experiences of others, it must be assessed both internally and externally and across every customer and partner touch point.

All too often, a company bases branding decisions on the image it has of its brand(s). Unfortunately, a company's internal brand image is often quite different from the customer's perception of the brand. Companies need to talk to their customers not only to determine their current brand image, but also to determine what they need to change to make that image more relevant.

ITT, the manufacturer of engineered products from spaceborne navigation systems to shock absorbers, has recently spent millions on a branding campaign. Read a business journal or watch a Sunday morning news program and you will see them. But why? Isn't the money better spent on branding ITT's hundreds of products to their specific customers, not the general public?

The problem is that ITT had an identity problem and many still associated the ITT brand with not only engineered products, but with financial services and resort hotels. In the mid-'90s, ITT divested Hartford Financial Services Group and Sheraton Hotels, but many in the investment community remain unclear on who ITT is and who they want to be. ITT realized that while internally they may have been clear on their brand identity, the investment community that traded its stock was less clear. If ITT hoped to communicate a clear and valuable message to Wall Street, it needed to clarify who it was. If it had looked at its brand solely from an internal perspective, it might never have realized this conflict existed.

6. Branding is an external thing that only concerns marketers. After spending the time and resources to understand what a brand is and developing the company's brand identity, a company may still find its branding efforts are often doomed to failure because no one took the time to explain the effect the brand has on the rest of the organization. Too many times, all branding efforts are focused externally on customers, and very few are aimed at ensuring that the internal organization meets the expectations created by these brand-building efforts. Failure to realize the internal implications and develop internal brand-building programs causes confusion and failure. It is ironic because the brand is often developed internally, but left unattended externally.

Having a brand mindset means everyone in your organization knows who the company is, where the company is going, and what needs to be done to get it there. As a part of the eServer rebranding, IBM realigned its sales and support force to take a more integrated approach that focused on selling and supporting a full line of products, not just one server brand. United learned the hard way with its "United Rising" campaign when it vowed to address the miseries of traveling, but did not align its organization to address these issues before it set customers' expectations.

All too often, branding is seen solely as a marketing effort. Problems arise when messages and promises are communicated to customers and the rest of the organization is not in alignment to deliver on those promises. Branding affects all areas of a company (e.g., sales, customer service, manufacturing) and should be thought of as an overarching management strategy.

Leveraging an Asset

The important thing to remember is that the customer owns the brand. A company can only perform activities to try and shape the customers perceptions of the brand. Companies can scream, plead, and dream that their brand is one thing, but if consumers think otherwise, a company is powerless. That is why building, changing, and fixing a brand takes time and money and why brands should be managed and invested in as an asset.

If your B2B brand is not considered an asset, then branding is a useless, money-guzzling misadventure, and falling into the brand pitfalls will be inevitable. ■

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